

Inflation increased to 2.5% in September, fostered by fuel prices and a persistently elevated core rate. The print suggests a tangible monthly gain in regulated prices, as energy distributors start to lift end prices, while pricing remained benign in the food segment. A hike in November seems increasingly likely, as rates adjust to a new equilibrium

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Second-round effects start to materialise

Czech headline inflation increased to 2.5% year-on-year in September, while the price level remained unchanged from the previous month. Both readings came in 0.1ppt above the market consensus, yet in line with our forecast. In a monthly comparison, the limited breakdown suggests a punchy increase in fuel prices but also tangible gains in regulated prices. The energy distributors are just beginning to pass through the persistently elevated prices of the underlying assets, such as oil and natural gas, into the end prices for their customers. In contrast, food prices remained on the

benign side in September, though a tiny price increase in unprocessed foodstuffs likely heralds an expected turnaround over the coming months. We see the upcoming return of food price growth along with the current price gains in regulated prices as the first tangible second-round effects linked to the Strait of Hormuz conflict.

Expensive inputs and weaker koruna to drive goods prices higher

CZ - Inflation (% YoY, CZSO definition)

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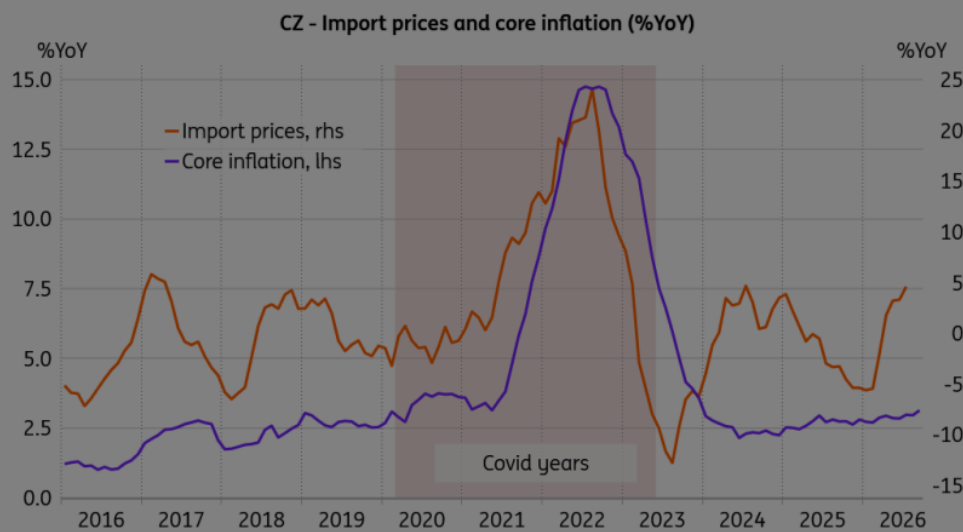
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increase in September that resulted in 1.2 % annual growth, up from 0.2% previously. For sure, September's rising Brent Crude prices and refined products took its toll, while the weakening koruna went in the same direction. That said, we should see a more pronounced FX impact on CPI in October, as there is a time lag for import prices to trickle down to consumer price tags, while the USD continued to gain strength. We estimate that annual core inflation landed at around 3.1% in September.

Import prices dynamics precedes core inflation



Source: CZSO, CNB, Macrobond

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inflation prints exceed our expectations.

Increased scarcity boosts costs and equilibrium rates

The time of rapid globalisation seems to have disappeared into the abyss of history, along with the almost endless reservoir of cheap labour force to be shared in China and ever decreasing costs of goods since the turn of the century. For sure, the retreat and, in specific strategic sectors, a complete reversal of globalisation has its costs, such as that consumption in advanced economies fostered by ultra-low or even negative real interest rates without

elevated consumer inflation is no longer possible. And guess what, history went on and made the world add fuel to the fire, switching into a new steady state, where protracted conflicts and the struggle for materials and influence became fashionable for all the right reasons once again.

Negative real interest rates got hard to conciliate with price stability

Real interest rate (% , headline inflation based)

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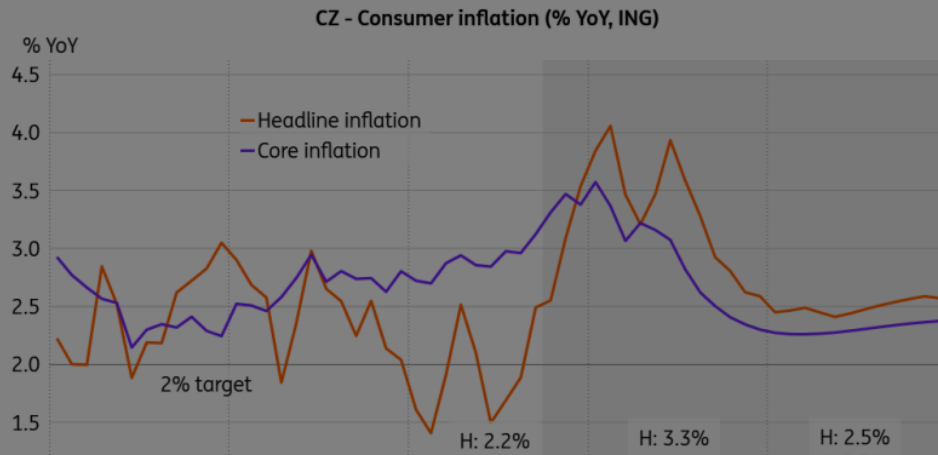
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Maintaining an ultra-low or negative real interest rate any longer.

And here we stand, the Fed and the Czech National Bank are likely to make it into the new normal. In contrast, the European Central Bank looks at the interest rate hovering at sub-zero since March, while it has been negative for more than a year-and-a-half for countries such as the Netherlands, Austria, and Slovakia.

Considering the outcome, the ECB didn't seem to have its hand on the pulse at the right time. So, a gargantuan task is emerging: how to fix this and not to break the eurozone economy with French bond yields soaring?

Inflation has just set on its upward climb



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months. We reiterate our maxim that a structurally strong economy is accompanied by a strong currency.

Interest rates

Inflation

Forecast

Czechia

CNB

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